National Economics University

Multilateral Investment System and Multinational Enterprises

Describe your understanding of the European Union (EU). Analyze the role and influence of the EU on the integration and linkage of the region, the world and Vietnam.



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CLASS Investment Economics 65

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Introduction

Regional economic integration is one of the defining features of the world economy. The European Union is the most advanced and most institutionalised model: it began in 1951 as a six-country community for coal and steel and has grown into a union of 27 member states with a single market, a common trade policy, a common currency for most members, and supranational institutions whose decisions bind national governments.

For Vietnam, the EU is a major export market, a source of investment and technology, and an increasingly demanding standard-setter, especially since the EVFTA and the EVIPA. The report describes the EU as a model of regional integration and analyses its role and influence on the region, the world and Vietnam, using integration theory, EU policy documents, academic literature, and trade and investment data.

Chapter 1 presents the theoretical basis of regional economic integration and an overview of the EU. Chapter 2 analyses the EU's role in European integration, global economic integration and global governance. Chapter 3 examines the EU's influence on Vietnam through the EVFTA and EVIPA, standards and the green transition, and sets out opportunities, challenges and policy recommendations.



Chapter 1

Theoretical basis and overview of the European Union

1.1 Theoretical basis of regional economic integration **1.2** Overview of the European Union

1.1.1

Concept of international/regional economic integration

- **International economic integration** refers to the process through which countries increasingly reduce barriers to the movement of goods, services, capital, people, and, in some cases, economic policies across national borders.
- **Regional economic integration**: neighboring or geographically connected countries remove economic barriers and coordinate their policies in order to create a more integrated regional market.
- The primary objective is to increase economic efficiency, expand market access, promote trade and investment, and enhance the competitiveness of participating economies.
- Regional integration can also contribute to broader political objectives, such as maintaining peace, strengthening political stability, and increasing the collective bargaining power of member countries.

Costs and challenges

Greater market openness may expose domestic firms to stronger competition from foreign enterprises. Workers may face adjustment costs as production shifts between countries, and deeper integration may require governments to transfer certain policy responsibilities to regional institutions.

1.1.2

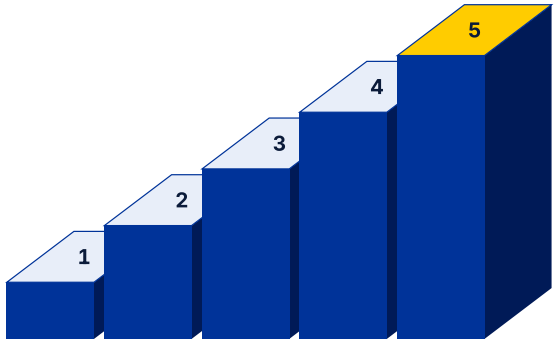
Levels of regional economic integration

Political union can be considered an even deeper form of integration, although it is rarely achieved in practice. These stages should not necessarily be understood as a rigid sequence that every regional organization must follow.

VISUAL · SECTION 1.1.2 · SCHEMATIC

Each level of integration builds on the one below

Schematic: block heights show order only, not a measured quantity. Select a level to read its description.



1 Free Trade Area

2 Customs Union

3 Common Market

4 Economic Union

5 Economic and Monetary Union

5. Economic and Monetary Union

Members may adopt a common currency managed by a common central bank. The euro area is the most prominent contemporary example.

Source: *Compiled by the authors from the data in Section 1.1.2.*

1

Free Trade Area

Members eliminate or reduce tariffs on goods traded among themselves; each member retains its own trade policy toward non-member countries.

2

Customs Union

Establishes a common external tariff toward non-member countries.

3

Common Market

Restrictions on the movement of capital, labor, and services are substantially reduced.

4

Economic Union

Members may coordinate policies concerning taxation, competition, government spending and employment.

5

Economic and Monetary Union

Members may adopt a common currency managed by a common central bank. The euro area is the most prominent contemporary example.

1.1.3

The EU as a Model of Deep Regional Integration

The EU should not be understood simply as a trade bloc. It represents a multidimensional form of regional integration combining economic integration, legal cooperation, institutional governance, political coordination, and external relations.

Single European Market

Based on the free movement of goods, services, capital, and people.

Common policies

Trade, agriculture, competition, regional development, environmental protection, and consumer protection.

Economic and Monetary Union

Many member states have adopted the euro; monetary policy for the euro area is conducted by the European Central Bank.

Supranational institutional structure

The European Commission, the European Parliament, and the Court of Justice of the European Union exercise powers at the EU level.

External influence

EU rules and standards can influence companies and countries outside its borders, the "Brussels Effect".

1.2.1

Formation and development process

TABLE 1.1. Key Milestones in the Historical Development of the European Union

1950
Schuman Declaration
Pooling of French and German coal and steel production

1951–1952
European Coal and Steel Community
The first supranational European community

1957–1958
Treaties of Rome: EEC and Euratom
Integration extended to broader economic cooperation and a common market

1965–1967
Merger Treaty
A single Commission and Council for the ECSC, EEC, and Euratom

1973
First enlargement
Denmark, Ireland, and the United Kingdom join

1979
First direct European Parliament elections
Citizens directly elect members of the European Parliament

1981
Greece joins
The tenth member of the European Communities

1986
Spain and Portugal join
The Communities expand to 12 members

1986-1987
Single European Act
Legal basis for completing the Single Market

1992–1993
Maastricht Treaty
Creation of the EU; foundations for Economic and Monetary Union

1993
Single Market launched
Based on the four freedoms

1995
Austria, Finland and Sweden join
EU membership increases to 15

1999
Euro introduced
For accounting and financial transactions

2002
Euro banknotes and coins
Euro cash enters circulation in 12 countries

2004
Major EU enlargement
Ten countries, mainly from Central and Eastern Europe

2007
Bulgaria and Romania join
EU membership expands to 27 countries

2009
Treaty of Lisbon enters into force
Reform of EU institutions and decision-making mechanisms

2013
Croatia joins the EU
The 28th member, the final accession before Brexit

2016
UK referendum on EU membership
A majority of UK voters vote to leave the EU

2020
Brexit
The UK leaves on 31 January 2020; the EU operates with 27 member states

2020–present
A more resilient and strategic EU
Economic resilience, climate change, digital transformation, energy security

Source: *European Union, European Parliament, European Council, and European Central Bank materials.*

VISUAL · SECTION 1.2.1

Enlargement milestones run through the whole history of integration

Milestones from Table 1.1; spacing is by order, not to scale. Select a milestone to read it.



1950

Schuman Declaration

Pooling of French and German coal and steel production

☆ Enlargement (members join) ☆ Brexit (a member leaves) • Other milestone

Source: *European Union, European Parliament, European Council, and European Central Bank materials.*

1.2.2

Institutional structure

GENERAL INTERESTS OF THE EU

European Commission

Proposes legislation, implements EU policies, manages the EU budget, and ensures that EU law is properly applied.

EU CITIZENS

European Parliament

Elected by citizens; participates in the legislative process, approves the budget together with the Council, and exercises democratic oversight.

GOVERNMENTS OF THE MEMBER STATES

Council of the European Union

National ministers meet depending on the policy area; adopts EU legislation together with the European Parliament.

HEADS OF STATE OR GOVERNMENT

European Council

Defines the Union's overall political direction and priorities; generally does not adopt ordinary legislation.

EU LAW

Court of Justice of the European Union

Ensures that EU law is interpreted and applied consistently across member states.

EURO AREA

European Central Bank

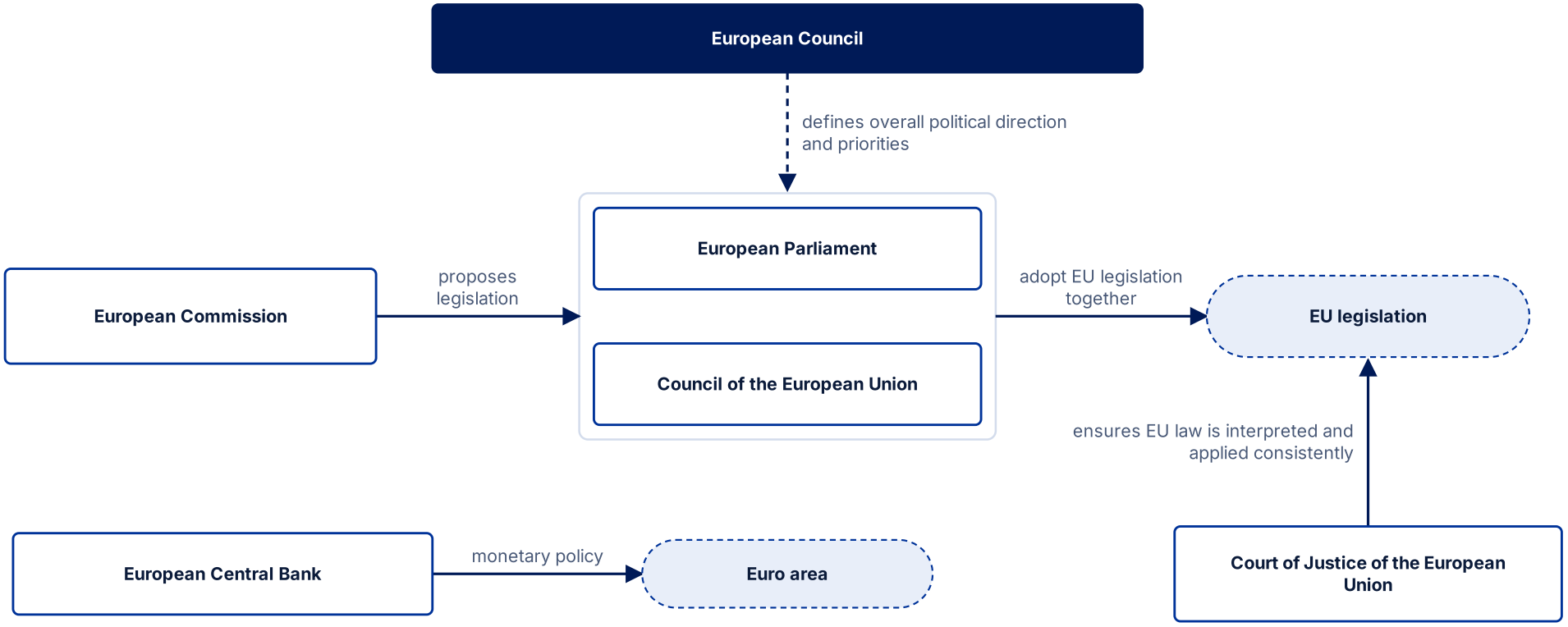
Responsible for monetary policy in the euro area; its primary objective is to maintain price stability.

> EU decision-making involves a complex interaction between supranational and intergovernmental elements.

VISUAL · SECTION 1.2.2 · SCHEMATIC

The Commission proposes; the Parliament and the Council adopt

Schematic: only the relations stated in the text of Section 1.2.2 are drawn.



Source: *Compiled by the authors from the data in Section 1.2.2.*

1.2.3

Objectives, Principles and Core Policies

The objectives define the goals of European integration, the principles provide its legal and political foundation, and the core policies translate these commitments into practice.

ARTICLE 3 TEU

Objectives

- Peace, fundamental values and citizens' well-being
- An area of freedom, security and justice
- The internal market: goods, services, capital and people
- Sustainable economic and social development: balanced growth, price stability, employment, environmental protection
- Economic, social and territorial cohesion
- A stronger global role: peace, security, sustainable development, free and fair trade

EU TREATIES

Principles

- Human dignity, freedom, democracy, equality, the rule of law and human rights (Article 2 TEU)
- Conferral: only the powers granted by the treaties
- Subsidiarity: EU action only where member states cannot sufficiently achieve the objectives
- Proportionality: no more than what is necessary
- Solidarity among member states
- Sincere cooperation between the EU and its member states

COMMON POLICIES

Core policies

- Single Market and Customs Union (common external tariff)
- Economic and Monetary Policy (ECB, euro area)
- Common Commercial Policy
- Common Agricultural Policy (CAP)
- Cohesion Policy
- Environmental and Climate Policy (European Green Deal)
- Energy and Transport Policy
- Competition and Consumer Protection Policy
- Digital and Innovation Policy
- Foreign and Security Policy

> Together, they contribute to regional stability, economic integration, sustainable development and the EU's influence in global affairs.

Source: *Treaty on European Union (Articles 2 and 3).*



Chapter 2

The EU's role and influence on regional and global integration

2.1 The EU in Regional Integration **2.2** The EU in Global Integration

2.1.1a

Economic Integration

Economic integration has been the engine of the European project, moving from a common market for coal and steel to a single market for the whole economy.

1951 · 1957

Treaties of Paris and Rome

A common market for coal and steel, then a customs union and the gradual creation of a common market among the six founding members. Internal tariffs were abolished by 1968; a common external tariff, the CAP and a common commercial policy followed. The main effect was trade creation among the members.

1986 · END OF 1992

Single European Act

The programme to complete the internal market relied on mutual recognition, minimum harmonisation and the removal of nearly 300 legislative and administrative obstacles.

GUARANTEED BY THE TREATIES

The four freedoms

Free movement of goods, services, capital and persons, enforced by the European Commission and the Court of Justice of the European Union.

TABLE 2.1. **The four freedoms of the single market and their main supporting instruments**

FREEDOM	WHAT IT GUARANTEES	MAIN SUPPORTING INSTRUMENTS

FREEDOM	WHAT IT GUARANTEES	MAIN SUPPORTING INSTRUMENTS
Free movement of goods	No customs duties or equivalent charges between Member States; prohibition of quantitative restrictions and measures of equivalent effect	Customs union; mutual recognition; common product rules and CE marking; competition and State-aid control
Free movement of services	Right to provide and receive services across borders and to establish a business in another Member State	Services Directive; professional qualification recognition; telecommunications and transport liberalisation
Free movement of capital	Removal of restrictions on capital movements and payments between Member States and, with exceptions, with third countries	Capital liberalisation (1990s); euro; Banking Union; Capital Markets Union project
Free movement of persons	Right of EU citizens to live, work and study in another Member State	Citizenship rights; Schengen Area without internal border checks; recognition of diplomas; social security coordination

Source: *Treaty on the Functioning of the European Union; European Commission.*

2.1.1b

Economic Integration

≈450 million

consumers in the single market, extended to Iceland, Liechtenstein and Norway through the European Economic Area

≈EUR 4.14 trillion

intra-EU trade in goods in 2025, +2.6% on 2024: larger than either EU exports to, or imports from, the rest of the world

21 members

of the euro area since Bulgaria joined on 1 January 2026; ≈82% of EU GDP

≈ one third

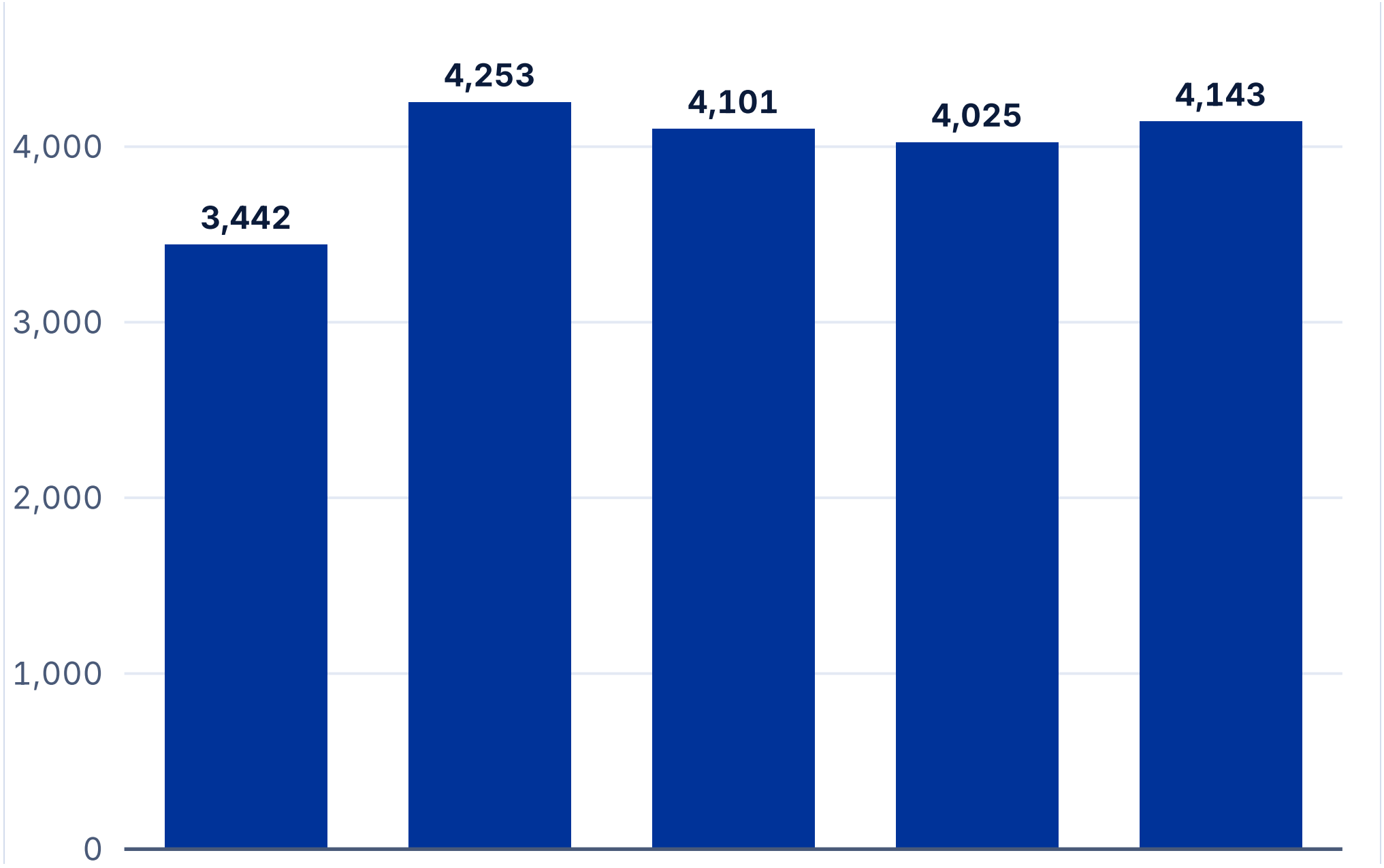
of the EU budget goes to cohesion policy (ERDF, ESF+, Cohesion Fund)

Source: *Eurostat; European Union (n.d.-a).*

FIGURE 2.1 (A)

Intra-EU trade in goods, 2021–2025

EUR billion. Values as labelled in the report's figure.


4,000
3,000
2,000
1,000
0
3,442
4,253
4,101
4,025
4,143



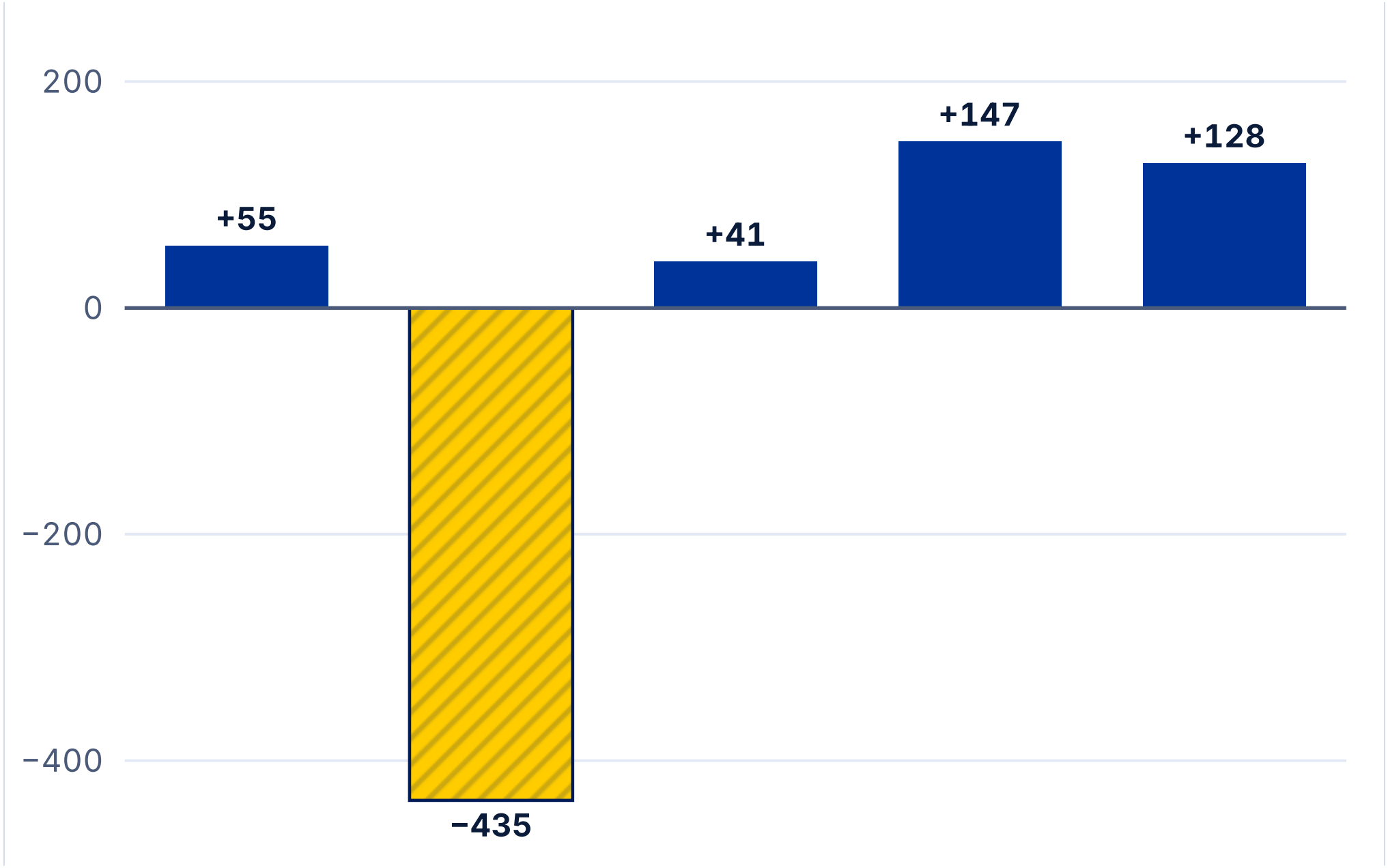
- Numbered "Figure 1" in the report; renumbered Figure 2.1 here to follow Chapter 2.
- 2025∗: the report notes that 2025 values are derived from reported shares and balance, and that vintages of earlier years differ slightly. The text gives about EUR 4.14 trillion (+2.6% on 2024).

Source: *Eurostat.*

FIGURE 2.1 (B)

Extra-EU trade balance in goods, 2021–2025

EUR billion; surplus above the line, deficit below. Values as labelled in the report's figure.


200
0
−200
−400
+55
−435
+41
+147
+128

- The report's figure also shows extra-EU export and import bars without value labels; only the labelled balances are drawn here.
- 2024: the figure shows +147; Table 2.3 gives a 2024 surplus of EUR 136 billion (different data vintage).

Source: *Eurostat.*

VISUAL · SECTION 2.1.1

21 of 27 member states use the euro (Bulgaria became the 21st on 1 January 2026)

One star = one member state. Stars are not linked to particular countries.



☆ 21 use the euro ☆ 6 do not use the euro (derived)

- 6 = 27 − 21 (derived): Czechia, Denmark, Hungary, Poland, Romania and Sweden.

Source: *European Union (n.d.-a).*

Monetary integration

The Maastricht Treaty set a three-stage path to EMU with convergence criteria. The euro was launched as an accounting currency in 1999 in 11 Member States and as cash in 2002. Only six Member States remain outside: Czechia, Denmark, Hungary, Poland, Romania and Sweden. The euro is the second most important international currency, with around one fifth of global official foreign-exchange reserves.

From "negative" to "positive" integration

Beyond removing barriers, the EU redistributes and coordinates: cohesion policy, the CAP, competition and State-aid control, and common rules for transport, energy networks, consumer protection and the digital economy.

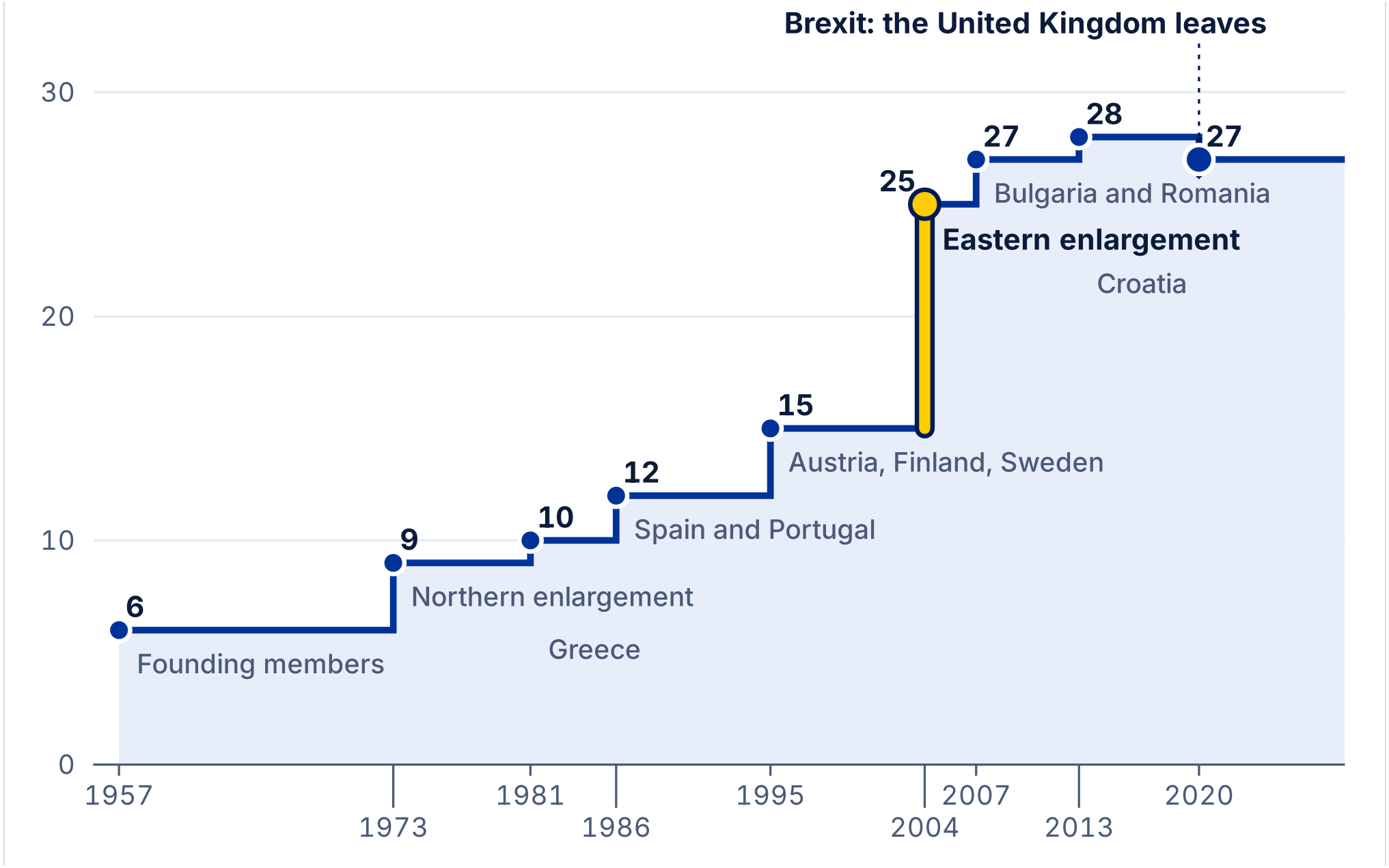
2.1.2a

Political Cooperation and Regional Stability

- The Schuman Declaration of 9 May 1950 aimed to make war between European states "not merely unthinkable but materially impossible"; the EU's contribution to peace was recognised by the Nobel Peace Prize in 2012.
- Enlargement is the EU's most powerful instrument for projecting stability: it helped consolidate democracy in Greece, Portugal and Spain, and drove reform in Central and Eastern Europe after 1989.
- The Copenhagen criteria (1993): stable democratic institutions, the rule of law, human rights and respect for minorities; a functioning market economy; the ability to take on the acquis.
- Ten countries joined in 2004, Bulgaria and Romania in 2007 and Croatia in 2013, raising membership to 28 before the United Kingdom left in 2020.

FIGURE 2.2. **Number of EU Member States, 1957–2026**

Number of Member States. Wave notes from Table 2.2. The line runs to 2026 (27 members).


Brexit: the United Kingdom leaves
30
20
10
0
6
Founding members
9
Northern enlargement
Greece
10
12
Spain and Portugal
15
Austria, Finland, Sweden
25
27
Bulgaria and Romania
Eastern enlargement
Croatia
28
27
1957
1973
1981
1986
1995
2004
2007
2013
2020

Source: *Compiled by the authors from official EU sources.*

2.1.2b

Political Cooperation and Regional Stability

TABLE 2.2. **Waves of enlargement of the EU**

YEAR	COUNTRIES JOINING	MEMBERS AFTER	CONTEXT
1957	Belgium, France, Germany, Italy, Luxembourg, Netherlands (founding members)	6	Post-war reconciliation
1973	Denmark, Ireland, United Kingdom	9	Northern enlargement
1981, 1986	Greece (1981); Spain and Portugal (1986)	10, then 12	Consolidation of new democracies
1995	Austria, Finland, Sweden	15	End of the Cold War
2004	Cyprus, Czechia, Estonia, Hungary, Latvia, Lithuania, Malta, Poland, Slovakia, Slovenia	25	Eastern enlargement
2007, 2013	Bulgaria and Romania (2007); Croatia (2013)	27, then 28	Further Eastern and Balkan enlargement
2020	United Kingdom leaves the EU (31 January)	27	Brexit

Source: *European Union official website; compiled by the authors.*

BEYOND ENLARGEMENT

Neighbourhood and CFSP/CSDP

- European Neighbourhood Policy, association and partnership agreements, conditional financial support
- CFSP and CSDP: civilian and military missions, sanctions, coordinated diplomacy
- Member States remain the main holders of military capability; NATO remains the primary framework for collective defence

SINCE 2022

A growing security dimension

- Successive packages of sanctions against Russia
- Financial, humanitarian and military assistance to Ukraine, partly through the European Peace Facility
- "ReArm Europe / Readiness 2030" (2025): aims to mobilise up to EUR 800 billion over the coming years

TESTED FROM WITHIN

Brexit, rule of law, unanimity

- Brexit showed that integration is not irreversible, and the cost of leaving the single market
- Rule-of-law concerns: infringement procedures, the Article 7 procedure and budget conditionality
- Differences over migration, energy, Russia and enlargement, and Eurosceptic parties, constrain decisions that require unanimity

> Seen as a whole, the EU's record in promoting regional stability is strong: a zone of peace and prosperity that has proved attractive to its neighbours and resilient to repeated crises.

2.2.1a

Global Trade and Investment

- The Common Commercial Policy is an exclusive competence of the Union: the Commission negotiates for all 27 under a Council mandate, and the European Parliament consents to the final agreements.
- The EU is one of the world's three largest trading powers with the United States and China; it accounts for roughly one seventh of global trade in goods and is a leading exporter of services and a major source and destination of FDI.

TABLE 2.3. Key indicators of EU external trade, 2025

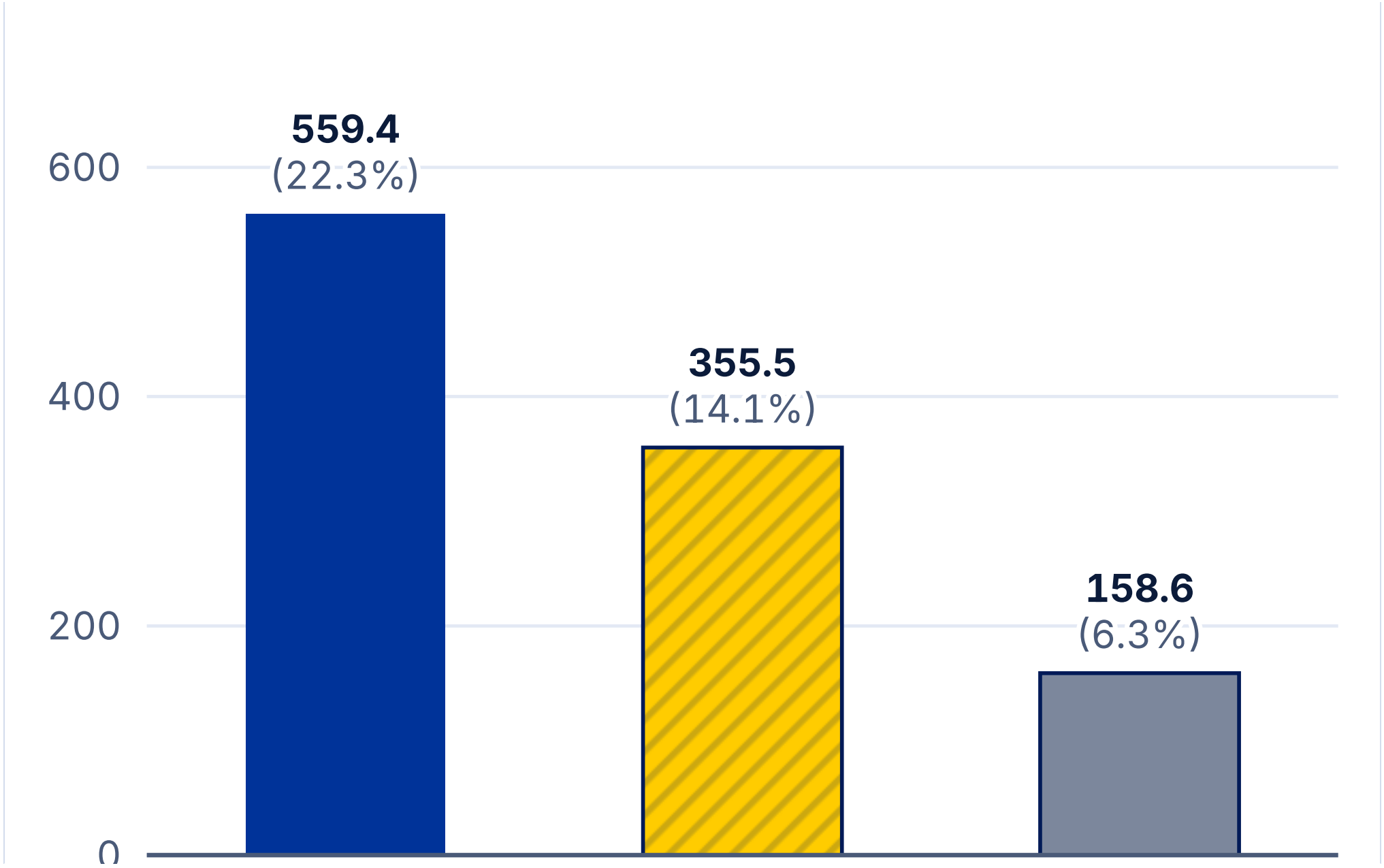
INDICATOR	VALUE
Trade in goods balance with the rest of the world	Surplus of EUR 128 billion (2024: EUR 136 billion)
Intra-EU trade in goods (January–December)	About EUR 4.14 trillion, +2.6% compared with 2024
Energy trade balance	Deficit of EUR 298.9 billion (2015: EUR 226.4 billion)
Food and drink trade balance	Surplus of EUR 39.7 billion (2015: EUR 32.0 billion)
Largest export destination	United States, 21.0% of EU exports
Largest source of imports	China, EUR 559.4 billion (22.3% of imports; +6.4% on 2024)
Other major import partners	United States, EUR 355.5 billion (14.1%); United Kingdom, EUR 158.6 billion (6.3%)

INDICATOR	VALUE
Exports of goods to the United Kingdom	EUR 345.3 billion (13.1% of EU exports)
Share of intermediate goods in extra-EU goods trade	54.4%
Concentration: share of the top five non-EU partners	53.4% of goods trade; 62.4% of services trade
Ratio of exports to imports of goods and services	Around 1.08–1.09
Maritime transport share of extra-EU imports	73.3% by weight; 50.2% by value

FIGURE 2.3

EU imports of goods from its three largest partners, 2025 (EUR billion)

EUR billion; share of EU imports in brackets.


559.4
(22.3%)
355.5
(14.1%)
158.6
(6.3%)
600
400
200
0

Source: *Eurostat data (2025), compiled by the authors.*



Source: *Eurostat, as reported by the European Commission and specialised media (see References).*

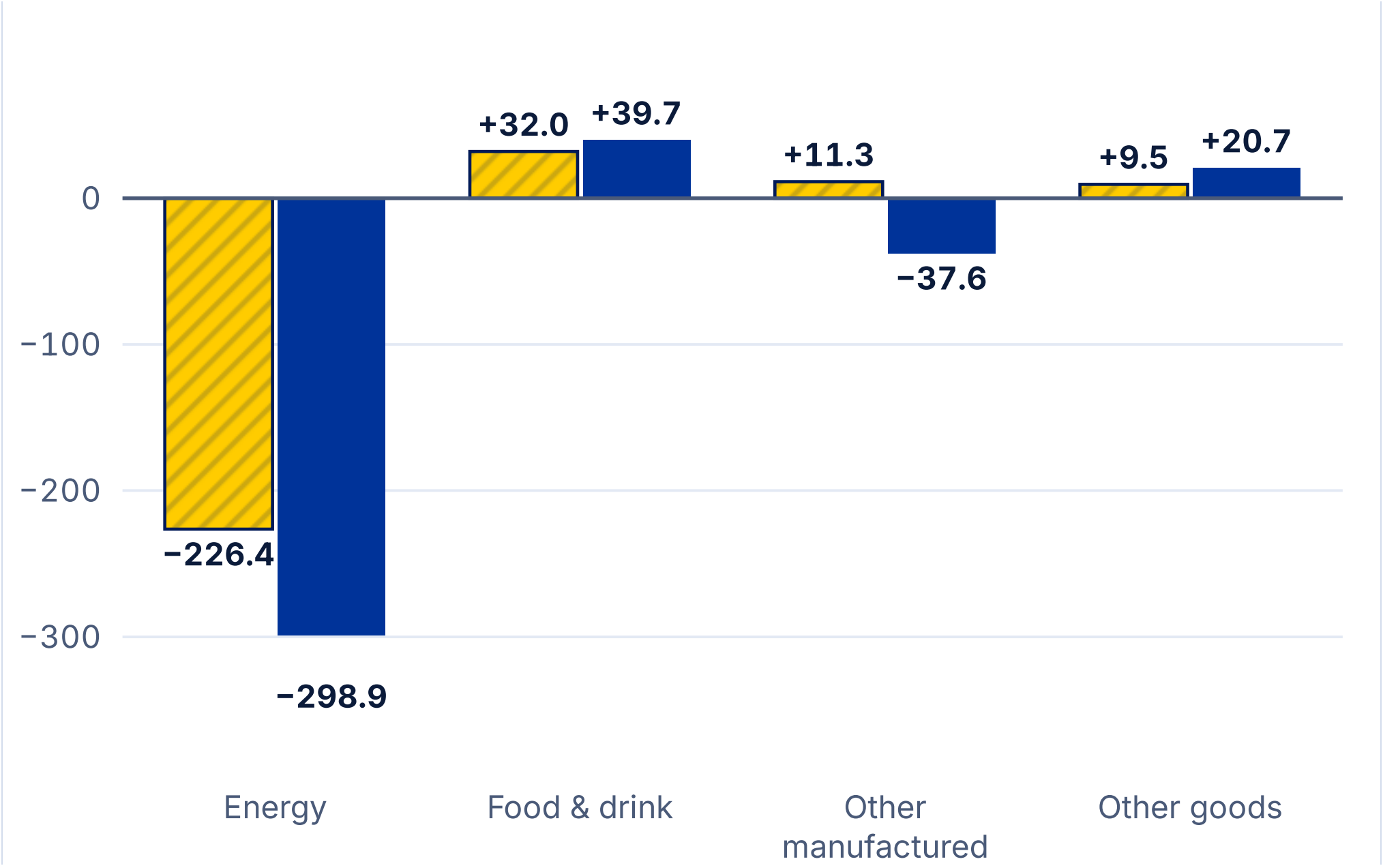
2.2.1b

Global Trade and Investment

FIGURE 2.4

EU trade balance by product group, 2015 and 2025 (EUR billion)

EUR billion; surplus above the line, deficit below.


0
−100
−200
−300
+32.0
+39.7
+11.3
+9.5
+20.7
−37.6
−226.4
−298.9
Energy
Food & drink
Other manufactured
Other goods



- "Other goods" (9.5 and 20.7) are taken from the labels of the report's figure; the other values also appear in the text and Table 2.3.

Source: *Eurostat data, compiled by the authors.*

Vulnerabilities

The energy deficit widened from EUR 226 billion in 2015 to EUR 299 billion in 2025, and "other manufactured goods" moved from a surplus of EUR 11.3 billion to a deficit of EUR 37.6 billion, reflecting increased import competition, particularly from China (Figure 2.4).

Concentration

The five largest non-EU partners account for more than half of goods trade and more than three fifths of services trade, one reason why diversification of partners has become a priority in EU trade policy.

More than half (54.4%) of extra-EU goods trade consists of intermediate goods: the EU is a hub of cross-border production networks.

2.2.1c

Global Trade and Investment

The "new generation" of agreements covers not only tariffs but also services, public procurement, intellectual property, regulatory cooperation, and sustainable development, labour and environmental provisions.

TABLE 2.4. **Selected EU trade agreements and their status**

PARTNER	STATUS	MAIN FEATURES
South Korea	Provisionally applied from 2011	First of the "new generation" agreements; elimination of nearly all tariffs; rules on non-tariff barriers and sustainable development
Canada (CETA)	Provisionally applied since September 2017	Comprehensive agreement covering goods, services, procurement and investment; high tariff elimination
Japan (EPA)	In force since 1 February 2019	Covers about a third of world GDP together with the EU; tariff liberalisation, regulatory cooperation, services and procurement
Vietnam (EVFTA)	In force since 1 August 2020	Elimination of about 99% of tariff lines over a transition period; commitments on services, intellectual property, procurement and sustainable development
United Kingdom (TCA)	Applied since 1 May 2021	Zero tariffs and quotas on qualifying goods; limited cooperation on services; framework for governance and level playing field
New Zealand	In force since 1 May 2024	Tariff elimination, strong sustainability chapter, including labour and climate commitments

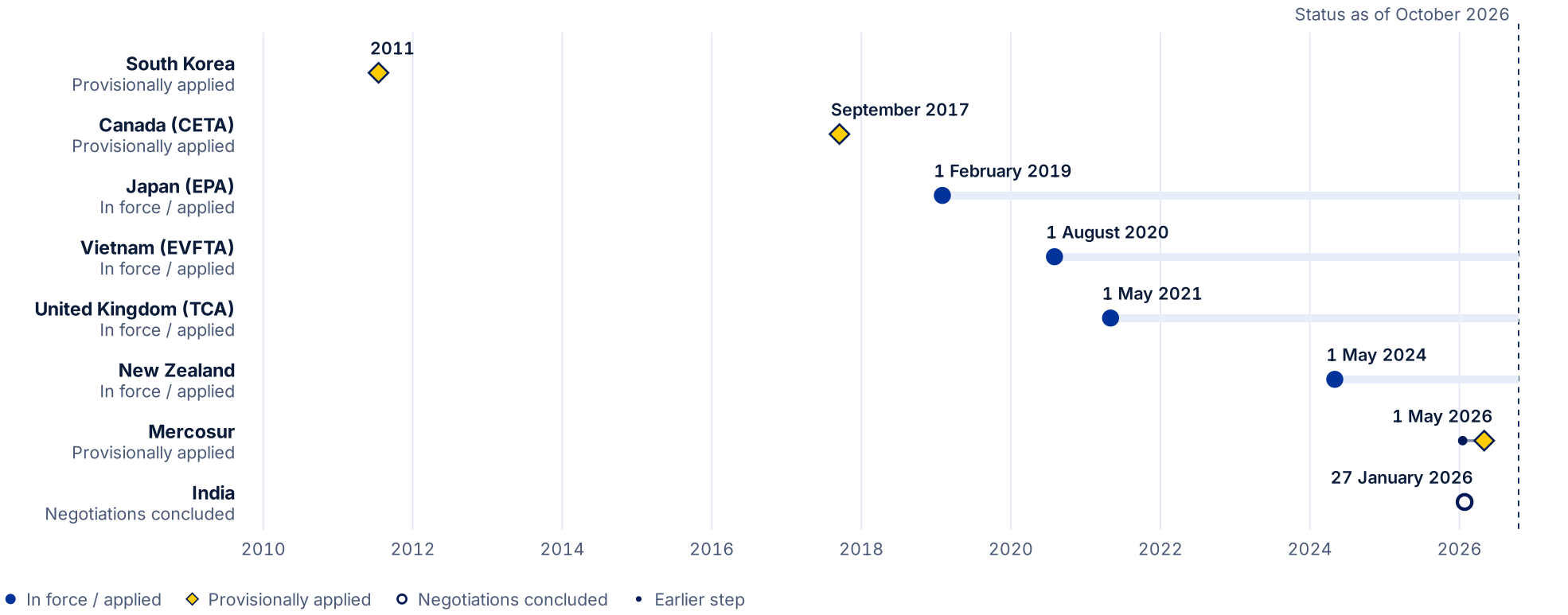
PARTNER	STATUS	MAIN FEATURES
Mercosur	Signed 17 January 2026; interim trade agreement applied provisionally from 1 May 2026	Gradual elimination of tariffs on over 90% of goods trade; quotas for sensitive agricultural products; sustainability provisions; the European Parliament requested a legal opinion from the Court of Justice
India	Negotiations concluded 27 January 2026; signature and ratification pending	Major tariff reductions on machinery, chemicals, pharmaceuticals and cars; services and mobility; trade and sustainable development chapter

Source: *European Commission; Sullivan & Cromwell (2026); Bundesbank (2026); DLA Piper (2026); Ebner Stolz (2026).*

VISUAL · SECTION 2.2.1

The EU's network of new-generation agreements has widened since 2011

Dates from Table 2.4. Shape and label show the latest status reported.



– South Korea: Table 2.4 gives the year only (2011); the mark is placed mid-year.

Source: *European Commission; Sullivan & Cromwell (2026); Bundesbank (2026); DLA Piper (2026); Ebner Stolz (2026).*

UNILATERAL PREFERENCES

GSP and "Everything But Arms"

The Generalised Scheme of Preferences, including "Everything But Arms" (2001) for the least developed countries.

OPENNESS WITH RESILIENCE

"Open strategic autonomy"

- FDI screening framework (applied since 2020)
- Foreign Subsidies Regulation; International Procurement Instrument
- Anti-Coercion Instrument (2023)
- Economic Security Strategy (2023)

SINCE THE LISBON TREATY

Investment

FDI is part of the Common Commercial Policy: the EU negotiates investment protection and a reformed investment court system. Investment protection agreements, such as the one with Vietnam, need national ratification (see Section 3.1.3).

2.2.2a

International Cooperation and Global Governance

The EU supports effective multilateralism, an international order based on agreed rules and institutions, reflecting its own experience as a community of states bound by law. It takes part in nearly all main multilateral forums, with varying formal status.

TABLE 2.5. The EU in major international organisations and frameworks

ORGANISATION / FRAMEWORK	EU STATUS	REMARKS
United Nations	Enhanced observer status in the General Assembly since 2011 (Resolution 65/276)	The EU can speak, submit proposals and amendments, but cannot vote; Member States remain full members
World Trade Organization	Full member alongside its 27 Member States	The Commission speaks for the Union on trade; the EU is one of the most frequent users of dispute settlement
G7 and G20	The EU participates in the G7 and is a full member of the G20	Represented by the Presidents of the European Commission and the European Council
IMF and World Bank	The EU is not a member; Member States are, with separate chairs	Fragmented representation weakens the collective voice of the euro area
Paris Agreement and UN climate regime	Party alongside its Member States	The EU submits a joint nationally determined contribution and plays a leading role in negotiations

ORGANISATION / FRAMEWORK	EU STATUS	REMARKS
Food and Agriculture Organization	The EU is itself a member organisation	Rare example of an international organisation that is a full member of a UN specialised agency
ASEAN and other regional partners	Strategic partnerships and region-to-region dialogues	EU–ASEAN relationship upgraded to a strategic partnership in December 2020

Source: *United Nations; WTO; European External Action Service; compiled by the authors.*

> In the WTO, the Commission speaks for the EU and its Member States. The Appellate Body has been paralysed since 2019 because the United States refused to appoint new members; the EU has promoted the interim multi-party appeal arrangement and pushed for reform.

2.2.2b

International Cooperation and Global Governance

≈40%

of global official development assistance comes from the Union institutions and the Member States together, making the EU the largest provider of development cooperation and one of the leading humanitarian donors

Up to EUR 300 billion

to be mobilised by 2027 under the Global Gateway strategy (launched December 2021) for infrastructure, digital, energy, transport, health and education

PEACE AND SECURITY

Missions, sanctions, Ukraine

- Civilian missions and military operations in the Balkans, Africa, the Middle East and elsewhere
- Unprecedented sanctions on Russia; support through the European Peace Facility; temporary protection for millions of Ukrainian refugees; a path to Ukraine's accession
- Exposed military dependence on the United States and a debate on "strategic autonomy"

GLOBAL GOVERNANCE AND ASIA

Law, coalitions, partnerships

- Support for the International Criminal Court, human rights mechanisms and arms control
- Indo-Pacific strategy (2021): trade, sustainability and the rule of law
- Vietnam: partnership and cooperation agreement, trade agreement and JETP climate finance

LIMITS

Less weight than its economy

- No seat in the IMF or the UN Security Council, where only France is a permanent member
- Unanimity in foreign and security policy
- National interests, different strategic cultures and a limited common budget
- A less favourable environment: trade, technology and finance used as geopolitical instruments

> The Union's influence is therefore strongest where it can act through law, regulation and markets. The effectiveness of Global Gateway depends on attracting private capital and coordinating Member States' financial institutions.

2.2.3a

Global Standards and Sustainable Development

Bradford (2020) calls it the "Brussels effect": a large and wealthy market, strong regulatory institutions and a preference for stringent rules lead multinational companies to apply EU standards across all their operations.

"DE FACTO" BRUSSELS EFFECT

Firms apply EU rules everywhere

More efficient than adapting to different rules in each market.

→

"DE JURE" BRUSSELS EFFECT

Governments copy EU laws

EU rules are written into domestic legislation.

→

REGULATORY POWER

No military strength needed

Influence that does not depend on formal negotiation.

TABLE 2.6. **Selected EU instruments for global standards and sustainable development**

INSTRUMENT	DATE	PURPOSE AND GLOBAL RELEVANCE
EU Emissions Trading System (ETS)	2005	World's first large carbon market; model for carbon pricing systems elsewhere
REACH Regulation	2007	Registration and assessment of chemicals; applies to all producers and importers selling in the EU
General Data Protection Regulation	2018	High standard of personal data protection with extraterritorial reach; widely copied
European Green Deal	2019	Strategy for climate neutrality by 2050 and a just, competitive transition
EU Taxonomy for sustainable finance	2020	Classification system for environmentally sustainable investments; reference for sustainable-finance frameworks
European Climate Law	2021	Legally binding target of climate neutrality by 2050 and a 55% net emissions reduction by 2030 (compared with 1990)
Global Gateway	2021	Up to EUR 300 billion mobilised by 2027 for sustainable infrastructure and connectivity with partner countries
Carbon Border Adjustment Mechanism (CBAM)	Transitional phase 2023–2025; definitive regime from 2026	Prices the carbon content of selected imports (such as steel, cement, aluminium, fertilisers, electricity and hydrogen) to prevent "carbon leakage"
Corporate Sustainability Reporting Directive	2022	Requires companies to report on sustainability; simplified through the 2025 "Omnibus" proposals
Artificial Intelligence Act	2024	First comprehensive horizontal law on AI; risk-based approach with extraterritorial scope

Source: *Official EU legal texts and European Commission publications; compiled by the authors.*

> Examples: GDPR (applicable since May 2018) has inspired data protection laws in dozens of countries; REACH (2007) binds producers and importers worldwide; the CE marking and New Legislative Framework govern a wide range of goods; the DSA and DMA (2022) and the AI Act (in force August 2024, obligations phased in) are still developing abroad, amid calls for simplification.

2.2.3b

Global Standards and Sustainable Development

55%

at least, net greenhouse-gas reduction by 2030 compared with 1990 (European Climate Law, 2021)

90%

reduction target for 2040 proposed by the Commission

2050

climate neutrality (European Green Deal, 2019)

- The EU and its Member States were among the strongest advocates of the 2030 Agenda and the 2015 Paris Agreement. The ETS (2005) is the oldest and one of the largest carbon markets.
- All modern EU trade agreements include a trade and sustainable development chapter.
- CBAM moved from a reporting phase (October 2023 to end-2025) to a definitive regime in 2026: importers of certain carbon-intensive products must buy certificates. Critics, including India, see it as a unilateral trade barrier.
- The EU also works through ISO, the Codex Alimentarius Commission, the IMO and ICAO, and "digital partnerships" in Asia.

> The most effective cases of EU influence are those in which unilateral regulatory power, multilateral negotiation and development assistance reinforce one another.

VISUAL · SECTION 2.2.3

EU climate targets: at least −55% by 2030, a proposed −90% by 2040, neutrality by 2050

Index, net greenhouse-gas emissions, 1990 = 100.


100
1990 base
100
75
50
25
≤ 45
at least
−55%, derived


1990 base
Target
Proposed target
Schematic straight line
- Targets, not projections; straight lines are schematic.
- Derived: 2030 = 100 − 55 (at least 55%, so at most 45); 2040 = 100 − 90 (target proposed by the Commission, as stated in the report); 2050 = 0 (climate neutrality).
Source: European Climate Law (2021); European Green Deal (2019); European Commission (n.d.-g).
0
1990
2030
2040
2050
10
−90% (proposed), derived
0
climate neutrality, derived



Chapter 3

The EU's influence on Vietnam

3.1 Overview of Vietnam–EU relations **3.2** The EU's economic influence on Vietnam

3.3 EU's Broader Influence on Vietnam's Development

3.4 Opportunities, challenges and policy recommendations

3.1.1

Milestones

Since diplomatic relations were established in 1990, the relationship has grown into a comprehensive partnership covering trade, investment, development cooperation, climate change, education and sustainable development.

TABLE 3.1 Key milestones in Vietnam–EU relations

1990 Diplomatic relations established	**1995** Framework cooperation arrangements
27 Jun 2012 Partnership and Cooperation Agreement signed in Brussels	**Jun 2018** Final EVFTA text agreed after a lengthy legal review
30 Jun 2019 EVFTA and EVIPA signed in Hanoi	**12 Feb 2020** European Parliament approves EVFTA and EVIPA
1 Aug 2020 EVFTA enters into force	**2022–2025** JETP launched with an initial US$15.5 billion pledge; first flagship projects announced in 2025
29 Jan 2026 Relations upgraded to a Comprehensive Strategic Partnership during European Council President António Costa's visit to Hanoi	**24 Mar 2026** EU announces more than €560 million in new Global Gateway commitments for Vietnam

1 Aug 2026

EVFTA completed six years in force

A turning point: the EVFTA

Signed in 2019 and in force since 1 August 2020, it cut tariffs and opened markets for goods and services, and added commitments on labour rights, environmental protection, intellectual property, government procurement and sustainable development, so its impact goes beyond lower trade barriers.

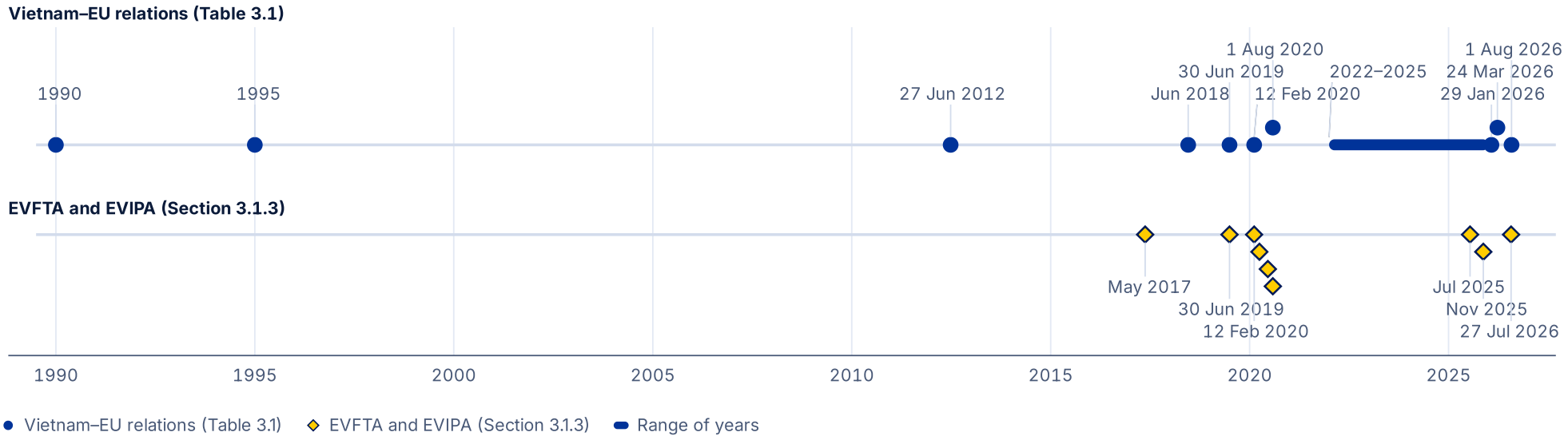
Beyond trade

Climate change, the energy transition, green growth and sustainable finance have become more prominent. Through technical assistance, policy dialogue and development cooperation, the EU increasingly influences Vietnam's energy, environmental and green-investment policies.

VISUAL · SECTIONS 3.1.1 AND 3.1.3

The EVFTA and EVIPA process runs alongside the deepening of Vietnam–EU relations

Time axis to scale; dates as given in Table 3.1 and Section 3.1.3. Ranges are drawn as bars.



Source: *EEAS; European Commission; VietnamPlus (28 Nov 2025, 2 Aug 2026); compiled by the authors.*

3.1.2

The strategic importance of Vietnam–EU relations

For both sides the relationship has moved from a mainly commercial exchange to a strategic partnership.

FOR VIETNAM

A large and relatively stable market

- 3rd-largest export destination (about 12–13% of exports)
- 4th-largest source of imports
- 6th-largest source of FDI; technology and finance for the energy transition
- Diversification of markets and supply chains; an image as a predictable, rules-based place to produce and invest

FOR THE EU

A gateway to Southeast Asia

- Largest goods-trade partner in ASEAN
- 9th-largest import source and 14th-largest trading partner overall (2025)
- A fast-growing production base; a partner for supply-chain resilience, clean energy and connectivity
- 2026 Comprehensive Strategic Partnership: trade and investment, climate and energy, digital, security and defence, supply chains, connectivity, people-to-people exchanges

TABLE 3.2. **Why the relationship matters – the interests of each side**

DIMENSION	FOR VIETNAM	FOR THE EU
Trade	3rd-largest export market (≈12–13% of exports); US$56.2 bn of exports in 2025	Largest goods-trade partner in ASEAN; 9th-largest import source, 14th-largest partner (2025); €76.0 bn of trade

DIMENSION	FOR VIETNAM	FOR THE EU
Investment	6th-largest FDI source; > US$27.8 bn invested, > 60% in manufacturing	Access to a growing market and a manufacturing base; investment protection under the EVIPA once in force
Economic model	Rules-based framework; incentive to upgrade standards and regulation	Promotion of rules, labour and environmental standards through the TSD chapter
Green transition	Finance and technology (JETP US$15.5 bn; Global Gateway > €560 m)	Cooperation on climate goals; opportunities for European clean-energy firms
Geopolitics and supply chains	Diversification of markets and partners; Comprehensive Strategic Partnership	Diversification of supply chains; presence in Southeast Asia

Source: *EEAS; European Commission (Eurostat); EuroCham; Viet Nam News; compiled by the authors.*

3.1.3a

Major frameworks for bilateral cooperation

Two agreements signed together in Hanoi on 30 June 2019 form the core of the relationship. In May 2017 the Court of Justice of the EU (Opinion 2/15) ruled that investment protection with arbitration-style dispute settlement is a shared competence, so the EU split the package: the EVFTA needed only EU-level approval, the EVIPA needs ratification by every member state.

TABLE 3.3. **The EVFTA and the EVIPA compared**

	EVFTA	EVIPA
Scope	Trade in goods and services, investment liberalisation, procurement, IP, competition, sustainable development	Investment protection: fair and equitable treatment, non-discrimination, protection against expropriation, free transfer of capital
Structure	About 17 chapters	4 chapters, 92 articles, 13 annexes
Approval	EU-level (Parliament consent 12 Feb 2020; Council 30 Mar 2020); Vietnam's National Assembly, Jun 2020	Needs ratification by all 27 member states; Vietnam ratified in Jun 2020
Dispute settlement	State-to-state mechanism; Trade Committee and specialised committees	Investment Court System instead of ad hoc investor–state arbitration

	EVFTA	EVIPA
Effect on existing treaties	–	Replaces the 21 bilateral investment treaties between Vietnam and EU member states
Status (Oct 2026)	In force since 1 Aug 2020	Not in force; 20 of 27 ratified by Nov 2025, France's bill before Parliament (Jul 2026)

Source: *European Commission; EEAS; VietnamPlus (28 Nov 2025, 2 Aug 2026).*

3.1.3b

The EU–Vietnam Free Trade Agreement (EVFTA)

A "NEW-GENERATION" AGREEMENT

Beyond tariff reduction

- Goods: tariffs, rules of origin, customs, trade remedies, TBT and SPS measures
- Services and investment liberalisation; government procurement
- Competition policy; state-owned enterprises
- Intellectual property, including 169 EU and 39 Vietnamese geographical indications
- Trade and Sustainable Development: ILO conventions (Vietnam to ratify further core conventions) and multilateral environmental agreements such as the UNFCCC

TABLE 3.4. **Main tariff commitments under the EVFTA**

	EU COMMITMENTS (ON VIETNAMESE GOODS)	VIETNAM'S COMMITMENTS (ON EU GOODS)
At entry into force (1 Aug 2020)	About 84–86% of tariff lines duty-free (≈70% of Vietnam's export value)	About 65% of duties removed
Final phase-out	≈99% of lines (≈99.7% of export value) after 7 years (by 2027)	Remaining duties removed by 2030 (up to 10 years)
Sensitive products	Tariff-rate quotas (e.g. rice); some fish products remain dutiable	Zero-duty quotas for rice, sugar, garlic, eggs, mushrooms, sweetcorn

	EU COMMITMENTS (ON VIETNAMESE GOODS)	VIETNAM'S COMMITMENTS (ON EU GOODS)
Examples of phase-out dates	Footwear, textiles, seafood and agricultural goods benefit progressively	Machinery, dairy and bakery 2025; motorcycles >150cc, car parts, wine and spirits 2027; most cars, poultry, beer 2030

Source: *European Commission, Access2Markets; Ministry of Industry and Trade of Vietnam. Percentages of tariff lines and trade value are official approximations and differ slightly between sources.*

> The tariff commitments are asymmetric in favour of Vietnam.

3.1.3c

The EU–Vietnam Investment Protection Agreement (EVIPA)

CONTENT

One EU-wide framework

- Replaces the 21 existing bilateral investment treaties
- Investment Court System with a tribunal and an appeal tribunal
- Greater legal certainty for investors while preserving governments' right to regulate in the public interest

STATUS (LATEST REPORTS)

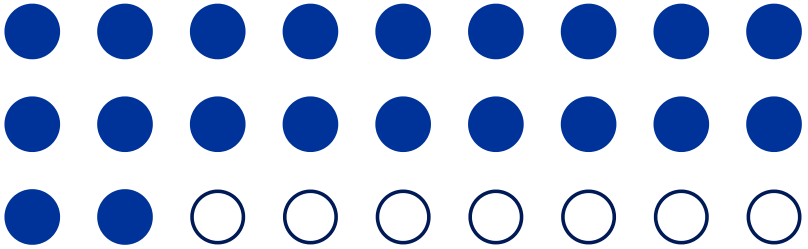
Not yet in force

- Enters into force only after all 27 member states ratify
- Poland was the 20th to ratify (November 2025)
- Germany: submitted to the Bundestag in July 2025; Vietnamese official media in March 2026 give conflicting accounts on completion
- France: ratification bill approved by the government on 27 July 2026 and sent to Parliament

VISUAL · SECTION 3.1.3

20 member states had ratified the EVIPA by November 2025; it is not yet in force

One dot = one member state. Dots are not linked to particular countries.



● 20 have ratified (Poland the 20th, Nov 2025) ○ 7 not yet (derived)

- As reported, Nov 2025; France's bill was sent to Parliament on 27 Jul 2026. Not yet in force.
- 7 = 27 − 20 (derived).

Source: *European Commission; EEAS; VietnamPlus (28 Nov 2025, 2 Aug 2026).*

3.2.1a

The impact of the EVFTA on bilateral trade

TABLE 3.5. EU–Vietnam trade in goods, 2019–2025 (EUR billion, Eurostat)

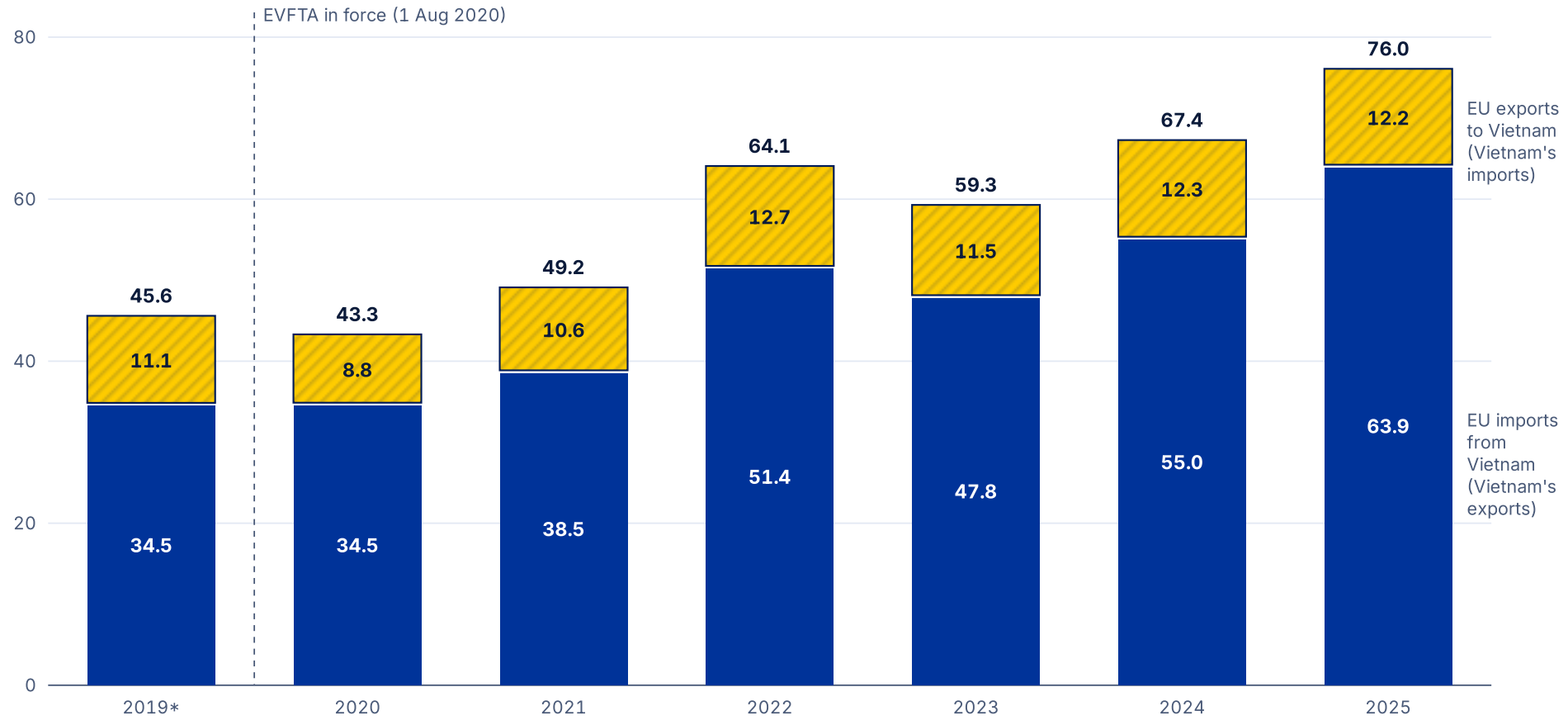
YEAR	EU IMPORTS FROM VIETNAM	EU EXPORTS TO VIETNAM	TOTAL TRADE	EU BALANCE
2019*	34.5	11.1	45.6	−23.4
2020	34.5	8.8	43.3	−25.8
2021	38.5	10.6	49.2	−27.9
2022	51.4	12.7	64.1	−38.7
2023	47.8	11.5	59.3	−36.4
2024	55.0	12.3	67.4	−42.7
2025	63.9	12.2	76.0	−51.7
Change 2019–2025	+85%	+10%	+67%	deficit more than doubled (+121%)

Source: *European Commission, DG Trade country factsheet on Vietnam (20 May 2026), based on Eurostat Comext.*

**2019 is approximate: derived from a total of €45.6 bn and a deficit of €23.4 bn reported by Upply (2025), also based on Eurostat. "EU imports from Vietnam" are Vietnam's exports to the EU.*

FIGURE 3.1. **EU–Vietnam trade in goods, 2019–2025 (EUR billion)**

EUR billion (Eurostat). Totals above the bars, as in Table 3.5.



- *2019: derived from the reported total (€45.6 bn) and deficit (€23.4 bn); see the note to Table 3.5.
- Totals are those of Table 3.5; some differ by 0.1 from the sum of the rounded parts.

Source: *European Commission (Eurostat data); the authors' chart. *2019 ≈ (see the note to Table 3.5).*

3.2.1b

The impact of the EVFTA on bilateral trade

TABLE 3.6. Vietnam–EU trade in goods, Vietnamese statistics (US$ billion)

INDICATOR	2019	2024	2025	CHANGE 2019–2025
Vietnam's exports to the EU	35.8	51.7	56.2	+57%
Vietnam's imports from the EU	14.0	16.7	17.6	+26%
Total trade	49.8	68.4	≈74	+49%
Vietnam's trade surplus	21.8	35.0	38.6	+77%

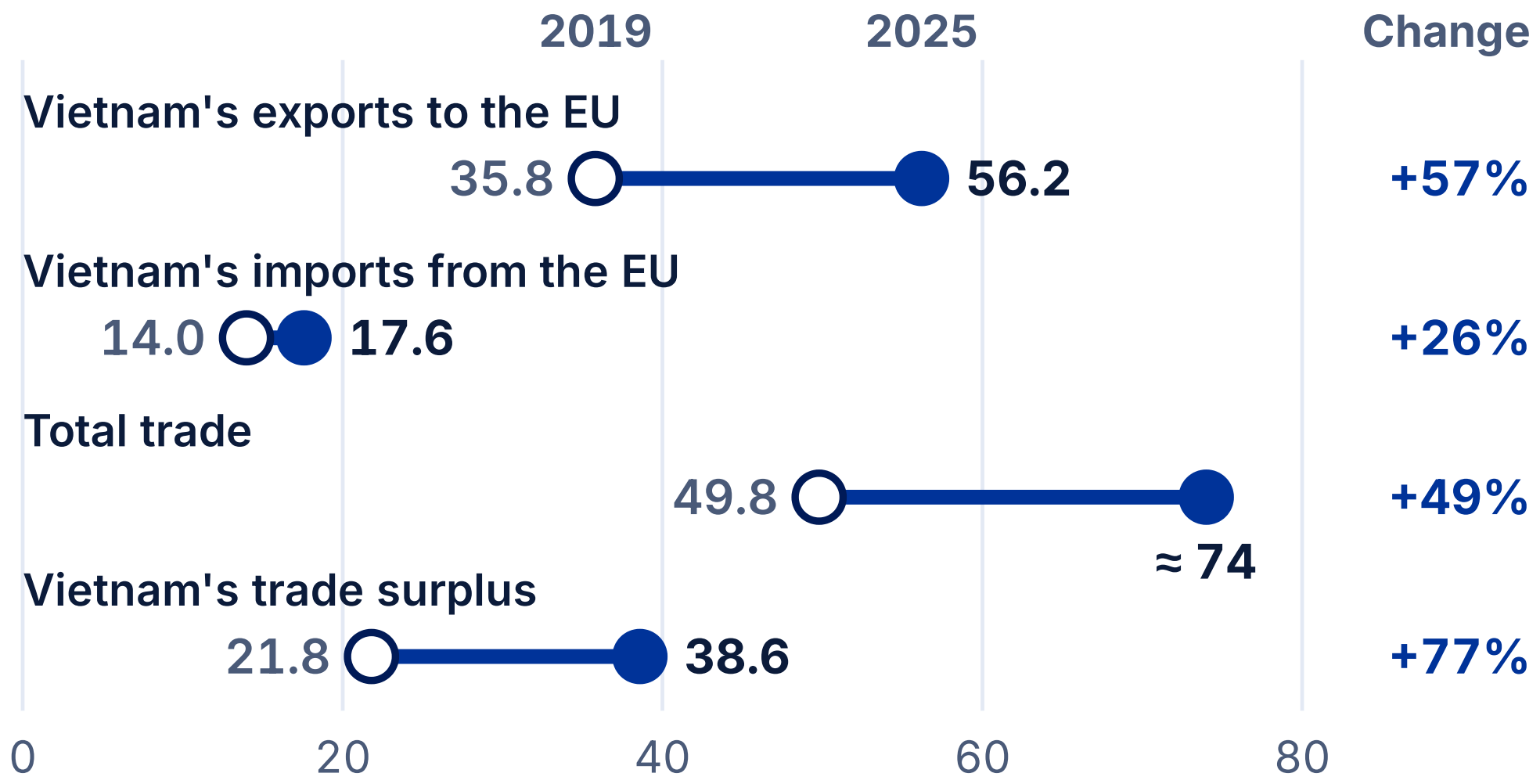
Source: *Ministry of Industry and Trade / Vietnam Customs, as reported by Viet Nam News (June 2026) and VietnamPlus (2025). 2019 figures on an EU-27 basis; changes calculated by the authors.*

Table 3.5 uses EU statistics in EUR; Table 3.6 uses Vietnamese statistics in US$, so the two series are not directly comparable.

VISUAL · SECTION 3.2.1 (TABLE 3.6)

Vietnam's trade with the EU rose on every indicator between 2019 and 2025, the surplus fastest

US$ billion, Vietnamese statistics. Change as in Table 3.6.



○ 2019 ● 2025

- The 2025 total is shown as ≈74, as in Table 3.6.

Source: *Ministry of Industry and Trade / Vietnam Customs, as reported by Viet Nam News (June 2026) and VietnamPlus (2025).*

CHANNELS OF IMPACT

TARIFF PREFERENCES

Better position against competitors

Footwear, textiles and garments, seafood, coffee, furniture and other manufactures gained against competitors without EU preferences.

2024 · ALL FTAS

About 1.8 million certificates of origin

Worth over US$100 billion; up 18% in volume and 28% in value from 2023.

EUROCHAM 2025 SURVEY

61% of SMEs

named tariff reductions as a key benefit (29% a year earlier); firms able to quantify the gain reported an average profit uplift of 8.7%. Tariff cuts also cheapen European machinery, chemicals and pharmaceuticals.

3.2.1c

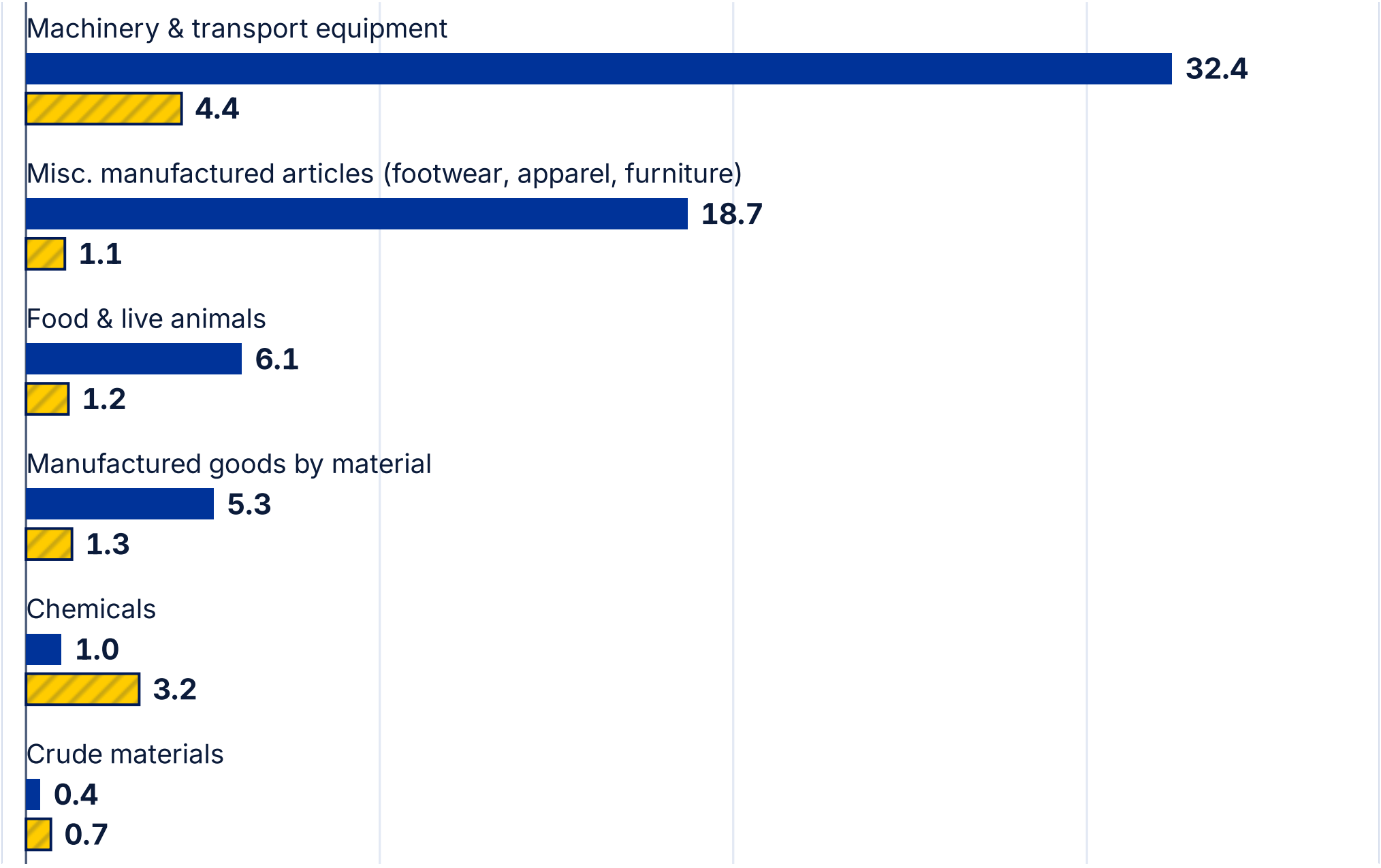
The impact of the EVFTA on bilateral trade

The product structure confirms that the two economies are complementary.

- 2025 EU imports from Vietnam: machinery and transport equipment, including electronics and phones, about 51% (€32.4 billion); miscellaneous manufactures such as footwear, clothing and furniture another 29% (€18.7 billion).
- EU exports to Vietnam are smaller and more technology-intensive: machinery and transport equipment (36% of the total) and chemicals and pharmaceuticals (26%).
- Vietnam's three largest export lines to the EU in 2025: computers and electronics (US$10.9 billion), machinery and equipment (US$7.4 billion), phones and components (US$6.9 billion).

FIGURE 3.2. **Main product groups in EU–Vietnam trade, 2025 (EUR billion, SITC sections)**

EUR billion, 2025, SITC sections.


Machinery & transport equipment
32.4
4.4
Misc. manufactured articles (footwear, apparel, furniture)
18.7
1.1
Food & live animals
6.1
1.2
Manufactured goods by material
5.3
1.3
Chemicals
1.0
3.2
Crude materials
0.4
0.7



– 32.4 and 18.7 are given in the text; the other values are the labels of the report's figure.

Source: *European Commission, DG Trade factsheet on Vietnam (Eurostat Comext); the authors' chart.*

3.2.1d

Foreign direct investment

- European investors are present in manufacturing, energy, infrastructure, finance, food and beverages and information technology.
- EEAS: more than US$27.8 billion in about 2,450 projects by the end of 2022, over 60% in manufacturing; the EU is Vietnam's sixth-largest source of FDI. Vietnamese media citing official data speak of nearly 2,500 European projects in 2025.
- The Netherlands is the largest EU investor (US$13.7 billion at end-2022), followed by France, Luxembourg, Germany and Denmark; Denmark's LEGO plant in Ho Chi Minh City is among the largest single projects.

TABLE 3.7. **EU investment in Vietnam before and after the EVFTA**

INDICATOR	2019	LATEST (DATE OF EACH FIGURE)	DEVELOPMENT
EU projects in Vietnam	> 2,240	≈ 2,450 (end-2022); nearly 2,500 (2025)	Continued expansion
EU cumulative registered capital	≈ US$24.7 bn	> US$27.8 bn (end-2022)	≈ +US$3 bn in three years
EU share of Vietnam's cumulative FDI	≈ 7.6%	≈ 5.6% (indicative; end-2022 capital ÷ total at 30 Nov 2024)	Share lower as Asian investors grew faster
Presence	18 of 21 sectors; 54 provinces	> 60% of capital in manufacturing (end-2022)	Concentration in manufacturing
Annual European FDI inflow	–	US$2.5 bn (2022) → US$3.25 bn (2024)	Rising

INDICATOR	2019	LATEST (DATE OF EACH FIGURE)	DEVELOPMENT
Largest EU investor	–	Netherlands, US$13.7 bn (end-2022)	–
EU rank among FDI sources	–	6th	–

Source: *Foreign Investment Agency/MPI (2019 figures); EEAS; VietnamPlus (Sept 2025); Vietnam Briefing. The ≈5.6% share is the authors' estimate: US$27.8 bn (end-2022) ÷ US$496.7 bn (total at 30 Nov 2024), so the two figures refer to different dates.*

Quality may matter more than quantity

European firms bring advanced technology, management practices and environmental standards; the agreement gives investors and suppliers a reason to meet requirements on quality, traceability, labour and environment. This supports technology transfer, productivity, jobs and training; Danish, German and other European firms have been especially active in renewable energy.

3.2.2

The EU's influence on Vietnam's economic structure and competitiveness

By attaching conditions to market access and finance, the EU affects what Vietnam produces, the standards it meets and the rules under which firms operate.

1

Export structure and position in value chains

Exports concentrated in electronics, machinery, garments, footwear and furniture (Figure 3.2); much growth comes from foreign-invested assembly, so value added captured in Vietnam is lower than headline figures. Rules of origin and standards push upgrading; moving up the value chain is the main long-term question.

2

Institutional and regulatory reform

Both agreements require a more transparent, predictable and rules-based environment and act as external drivers of change (Table 3.8). The Trade Committee and specialised committees give businesses a formal channel; both sides stressed their importance again in 2026.

3

Green transition

Conditions on standards and finance link market access to environmental performance (see Section 3.3).

TABLE 3.8. **Channels of institutional influence of the EVFTA and EVIPA**

AREA	COMMITMENT	EFFECT ON VIETNAM'S INSTITUTIONS
Legal and regulatory review	Domestic law must be consistent with EVFTA commitments	Ministries and agencies review and amend regulations under the Government's implementation plan
Transparency and predictability	Rules on customs, technical regulations, services and investment	Less uncertainty for firms; but EuroCham reports that about 37% of surveyed firms still face customs-valuation discrepancies
Government procurement	Opening of parts of the procurement market to EU suppliers; central procurement portal by 2030; lower thresholds over up to 15 years	Pressure for information disclosure, procedural consistency and fair access
Labour and environment (TSD)	Implement ratified ILO conventions and commit to ratify further core conventions; implement multilateral environmental agreements (UNFCCC, CITES, CBD)	Labour-law reform and environmental regulation; wider role for civil society
Intellectual property	Protection of geographical indications; five-year data exclusivity for pharmaceutical and agrochemical test data	Stronger IP enforcement and administration
Consultation mechanisms	Trade Committee and specialised committees	Regular channel to resolve business problems
Investment protection (EVIPA)	Fair and equitable treatment, protection from expropriation, Investment Court System	Potential, rather than realised, effect on legal certainty

Source: *European Commission, Access2Markets; EuroCham (2025); Vietnamese Government implementation plan; compiled by the authors.*

> Government procurement is a clear example: Vietnam opened parts of its public procurement market (central ministries, bodies in Hanoi and Ho Chi Minh City, large state entities) and improved transparency, tying trade policy directly to public-sector governance.

3.3

EU's Broader Influence on Vietnam's Development

Beyond trade, investment and the reforms tied to the EVFTA and EVIPA, the EU influences Vietnam through two connected dimensions: European standards and regulatory requirements that shape how Vietnamese businesses operate, and development cooperation that finances sustainable infrastructure, renewable energy and climate projects, supporting Vietnam's commitment to net-zero emissions by 2050.

3.3.1

Standards, Sustainability and Regulatory Alignment

Chapter 13 of the EVFTA covers labour rights, environmental protection, climate change, sustainable management of natural resources and corporate social responsibility, with dialogue through Domestic Advisory Groups.

TABLE 3.9. **Major Areas of EU Standards and Regulatory Influence on Vietnam**

AREA	EU REQUIREMENTS/INFLUENCE	IMPLICATIONS FOR VIETNAM
Environmental standards	Higher requirements for environmental protection and resource management	Firms need to improve environmental management and production processes
Labour standards	Respect for fundamental labour rights and ILO standards	Greater attention to working conditions and workers' rights
Product quality and safety	Strict technical, health and safety requirements	Greater investment in quality control and certification
Traceability	Increasing importance of supply-chain transparency	Firms need better tracking of raw materials and production processes
Sustainable production	Greater emphasis on resource efficiency and low-carbon production	Incentives to adopt cleaner technologies
Carbon and climate policy	Increasing role of carbon pricing and emissions reduction	Pressure to measure and reduce greenhouse-gas emissions

AREA	EU REQUIREMENTS/INFLUENCE	IMPLICATIONS FOR VIETNAM
Circular economy	Promotion of resource efficiency, recycling and waste reduction	Encourages changes in production and consumption models

Source: *Compiled from EU–Vietnam cooperation documents and the EVFTA sustainable development framework.*

2026

Deeper cooperation on standards

Environmental standards, carbon pricing, biodiversity, pollution control, waste management and the circular economy; EU technical support to adapt to new green-trade rules.

SUPPLY CHAINS

Reach beyond direct exporters

Domestic suppliers to EU-bound producers may need to document input origin, environmental performance and production conditions.

ADJUSTMENT

A burden for SMEs

Higher compliance costs, new technology and expertise; EU technical assistance reduces the adjustment burden. CBAM: see Section 2.2.3.

3.3.2a

Development Cooperation and Green Transition

Since 1990 the EU has provided grants and development assistance to Vietnam. The Partnership and Cooperation Agreement, in force since 2016, broadened cooperation; Global Gateway now combines grants, concessional finance, technical assistance and private investment. In March 2026 the EU and Vietnam announced more than €560 million for sustainable transport and clean energy.

TABLE 3.10. **Major EU Development Cooperation Channels in Vietnam**

COOPERATION CHANNEL	MAIN FOCUS	CONTRIBUTION TO VIETNAM
Development assistance	Poverty reduction, governance and sustainable development	Strengthens social and institutional capacity
Global Gateway	Sustainable infrastructure and connectivity	Mobilises public and private investment
JETP	Energy transition and decarbonisation	Supports renewable energy and power-sector reform
Technical assistance	Policy, regulatory and institutional capacity	Helps Vietnam implement international commitments
Climate cooperation	Emissions reduction and climate resilience	Supports Vietnam's net-zero pathway
Education and skills	Human capital and vocational training	Develops skills for green and digital industries

Source: *European External Action Service and European Commission.*

3.3.2b

Development Cooperation and Green Transition

JUST ENERGY TRANSITION PARTNERSHIP (JETP)

Projects under the JETP framework

- The 1,200 MW Bac Ai pumped-storage hydropower plant
- The expansion of the Tri An hydropower plant
- The Tra Vinh near-shore wind project

THREE INTERCONNECTED MECHANISMS

Financing, technology and institutional capacity building

Financial resources reduce capital constraints; technical cooperation strengthens policy design and implementation; cooperation with European institutions and firms facilitates access to technology.

TABLE 3.11. **EU Support for Vietnam's Green Transition**

AREA	MAIN EU-SUPPORTED DIRECTION	EXPECTED CONTRIBUTION
Renewable energy	Solar, wind and hydropower integration	Increase clean-energy capacity
Electricity grid	Grid development and flexibility	Improve integration of intermittent renewables
Energy efficiency	Policy and technical support	Reduce energy intensity

AREA	MAIN EU-SUPPORTED DIRECTION	EXPECTED CONTRIBUTION
Sustainable transport	Railways, public transport and low-carbon mobility	Reduce transport emissions
Green finance	Blended finance and investment mobilisation	Increase capital for sustainable projects
Carbon markets	Carbon pricing and emissions trading cooperation	Create incentives for emissions reduction
Circular economy	Resource efficiency and waste management	Reduce resource use and pollution
Climate resilience	Climate adaptation and environmental protection	Reduce vulnerability to climate change

Source: *European Commission and EEAS.*

> Global Gateway provides a framework for mobilising investment, while the JETP is a specific platform for the energy transition. In 2026 the two sides agreed to deepen cooperation in low-carbon energy, decarbonisation, energy efficiency, grid development, sustainable transport and carbon pricing.

3.4.1

Opportunities

1. **Greater access to the European market and export diversification:** lower tariffs and clearer conditions for textiles and garments, footwear, electronics, furniture, agricultural products and seafood, and less dependence on a few markets. Trade growth reflects the EVFTA together with global demand, supply chains and wider integration.

2. **Higher-quality investment and technology:** advanced manufacturing, renewable energy, logistics, digital infrastructure, semiconductors, sustainable agriculture and the circular economy, shifting investment away from low labour costs toward higher value added.

3. **Stronger support for Vietnam's green transition:** finance, technology and institutions through the JETP and Global Gateway; the Comprehensive Strategic Partnership stresses clean energy, decarbonisation, circular economy, sustainable transport and carbon pricing.

4. **Improvements in institutional and regulatory quality:** transparency, predictability, market access and labour and environmental standards, supported by the EVFTA's mechanisms and EU technical support for green-trade rules.

5. **Human-capital and technological development:** demand for skilled workers in advanced manufacturing, digital technology, renewable energy, environmental management, logistics and sustainable finance; cooperation in education, training, science and innovation.

3.4.2

Challenges

1. **Increasing compliance costs for Vietnamese enterprises:** quality, technical standards, traceability, environment, labour and sustainability requirements raise costs; SMEs have limited finance, technology and access to compliance services.

2. **Limited domestic capacity to capture high-value investment and technology:** weak supporting industries, limited R&D and shortages of highly skilled labour risk FDI without deeper domestic participation.

3. **Increasing pressure for institutional and regulatory adjustment:** EU rules on climate, carbon, digitalisation and supply-chain responsibility keep evolving; new requirements without transition periods or guidance create uncertainty.

4. **Financing and infrastructure constraints for the green transition:** renewable energy, grids, storage, sustainable transport and resilient infrastructure need more than external finance; project preparation, procedures, grid capacity and long payback periods slow delivery.

5. **Shortages of skilled human resources and innovation capacity:** gaps between the skills businesses need and those supplied by education and vocational training limit the benefits of technology transfer.

3.4.3

Recommendations

1

Complete the EVIPA and manage the surplus diplomatically

Continue parliamentary and diplomatic engagement with the remaining member states, using the Comprehensive Strategic Partnership roadmap, while committing to market-access improvements and balanced trade in EU-origin goods, so that the surplus does not erode political support.

2

Operationalise carbon pricing and emissions data

Launch the pilot emissions trading exchange on schedule and build a national measuring, reporting and verification system, so firms can supply credible data to EU importers and keep more carbon revenue at home (East Asia Forum, 2026; S&P Global, 2025).

3

Build traceability systems for EUDR and IUU compliance

Digital forest-plot mapping and geolocation for coffee, rubber and timber, and full implementation of fleet monitoring, traceability and enforcement measures requested by the Commission (Trung tâm WTO và Hội nhập, 2026b; Vietnam News Agency, 2026).

4

Raise EVFTA utilisation

Simplify customs and certificate-of-origin procedures, speed up tax refunds, digitalise documentation and apply rules of origin uniformly, as EuroCham has recommended (Thương hiệu & Công luận, 2026); help SMEs become qualified suppliers to foreign-invested exporters to raise local content.

5

Make JETP and Global Gateway funds bankable

A pipeline of prepared grid, storage and transport projects, with clear regulation and coordination among ministries, would improve the absorption of EU concessional finance and attract co-investment (Trung tâm WTO và Hội nhập, 2026c; Climate Policy Initiative, n.d.).

6

Attract higher-quality EU investment and stay predictable

Link incentives to technology transfer, R&D and supplier development, and keep the regulatory environment stable, to reinforce the benefits of EU FDI beyond its modest share of annual inflows (Italian Trade Agency, 2026; Vietnam Investment Review, 2025).

7

For firms: invest in compliance and diversification

Map supply chains, measure product-level emissions, obtain certifications and gradually move into higher-value segments rather than relying on assembly-based exports, using industry associations for technical training.

Source: *East Asia Forum (2026); S&P Global (2025); Trung tâm WTO và Hội nhập (2026b, 2026c); Vietnam News Agency (2026); Thương hiệu & Công luận (2026); Climate Policy Initiative (n.d.); Italian Trade Agency (2026); Vietnam Investment Review (2025).*

Conclusion

1

More than a trade bloc

A multidimensional integration system: from coal and steel through the customs union, the Single Market and EMU, usually by repairing gaps exposed by crises (the euro crisis, COVID-19) and through repeated enlargements. Its influence rests on market size and a body of rules. Its strengths are structural; its limits are political (unanimity among 27 governments, enlargement fatigue, dependence on NATO, the cost of its own regulation), so it is strongest in trade and regulation and weaker in foreign and defence policy.

2

One of Vietnam's most important partners

Under the EVFTA, bilateral trade rose from about US$49.8 billion in 2019 to about US$68 billion in 2024, with a large Vietnamese surplus, while EU cooperation supported institutional reform, higher standards and the green transition (JETP, Global Gateway). The benefits are not automatic: stricter rules on sustainability, traceability and carbon pricing raise costs, especially for SMEs, and expose weaknesses in supporting industries, skills and green finance.

3

Making the most of it

Complete the EVIPA ratification and manage the surplus diplomatically, raise the use of EVFTA preferences, build traceability and emissions-measurement systems, make green finance projects bankable, and attract EU investment that transfers technology and links with domestic suppliers. Firms should invest in compliance and move into higher-value segments.

> The EU experience shows that integration brings lasting benefits only when it is backed by sound institutions and policies that spread its gains and cushion its costs.

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Thank you

Questions and answers

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